

GCE A LEVEL

A520U30-1M

PREDICTED 2025 – SET M

ECONOMICS – A level component 3

Evaluating Economic Models and Policies

Predicted Paper – Moderate

2 hours 30 minutes

ADDITIONAL MATERIALS

A WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer **both** parts of **one** question from Section A.

Answer **both** parts of **one** question from Section B.

Answer **both** parts of **one** question from Section C.

Write your answers in the separate answer booklet provided, following the instructions on the front of the answer booklet.

Use both sides of the paper. Write only within the white areas of the booklet.

Write the question number in the two boxes in the left-hand margin at the start of each answer, for example **1 1**.

Leave at least two line spaces between each answer.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly, clear presentation in your answers.

SECTION A

Answer **both** parts of **one** question from this section.

Either,

Plastic bag charge leads to 98% drop in usage in UK supermarkets

1 1 Explain what is meant by a negative externality and why it leads to market failure. **[10]**

and

1 2 Discuss whether indirect taxation is the most effective government policy to correct negative externalities of consumption. **[20]**

Or,

Energy regulator Ofgem caps household bills as "Big Six" profits soar

2 1 Outline what is meant by a monopoly and explain how it differs from a firm operating under perfect competition. **[10]**

and

2 2 Discuss whether monopolies always act against the public interest. **[20]**

SECTION B

Answer **both** parts of **one** question from this section.

Either,

UK inflation rate falls to the 2% Bank of England target for the first time in three years

3 1 Using a diagram, explain what is meant by demand-pull inflation. **[10]**

and

3 2 Evaluate the effectiveness of monetary policy in controlling inflation. **[20]**

Or,

UK unemployment rises for the first time in 18 months as labour market cools

4 1 Explain the different types of unemployment. **[10]**

and

4 2 Evaluate the likely effectiveness of supply-side policies in reducing unemployment. **[20]**

SECTION C

Answer **both** parts of **one** question from this section.

Either,

UK joins CPTPP Pacific trade bloc in first major post-Brexit trade deal

5 1 With the aid of a diagram, explain the theory of comparative advantage. **[10]**

and

5 2 Discuss the extent to which free trade agreements benefit the UK economy. **[20]**

Or,

Sub-Saharan Africa's GDP growth forecast at 3.8% amid calls for increased aid

6 1 Explain the main characteristics of low-income countries. **[10]**

and

6 2 Discuss whether foreign aid is the most effective strategy for promoting economic development in low-income countries. **[20]**